Graphic Era HILL UNIVERSITY

Established by an Act of the State Legislature of Uttarakhand (Adhiniyam Sankhya 12 of 2011)
University under section 2(f) of UGC Act 1956

Term Evaluation Theory (Even) Semester Regular Examination February 2026

Roll no..............................

Name of the Course: B.COM (H)
Semester: II
Name of the Paper: Business Finance
Paper Code: BCH 20X
Time: 1.5 hours **Maximum Marks: 50**

Note:

(i) Answer all the questions by choosing any one of the sub-questions
(ii) Each question carries 10 marks.

Q1. (10 Marks)

a. Define Business Finance? Explain the scope of finance in a modern business organization. CO1

OR

b. Explain the concept of Time Value of Money (TVM). Why is it important? CO1

Q2. (10 Marks)

a. i. Mr. Suresh is to receive rs100, 5 years from now. The discount rate is 8 per cent. He wants to calculate the present worth of the money.
ii. Find out present value of rs 2000 receivable in 10 years. The discount applicable is 10 percent. CO1

OR

b. Describe the Capital Asset Pricing Model (CAPM) and its assumptions. CO1

Q3. (10 Marks)

a. Explain the concept of equity valuation? What is the purpose of valuation of shares? CO2

OR

b. Explain the meaning and importance of capital budgeting. CO1

Q4.

a. The following details are available in respect of the cash flows of two Projects A and B (10 Marks)

Year	Project A Cash flows (`)	Project B Cash flows (`)
0	(4,00,000)	(5,00,000)
1	2,00,000	1,00,000
2	1,75,000	2,00,000
3	25,000	3,00,000
4	2,00,000	4,00,000
5	1,50,000	2,00,000

Compute a Payback period for Project A and B.

CO 2

OR

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b. Explain the Internal Rate of Return (IRR) method with its merits and demerits.

CO 2

Q5. (10 Marks)

a. Explain the Net Present Value (NPV) method. Why is it considered superior to traditional methods??

CO 2

OR

b. A project costs rs 25000 and is expected to generate cash inflows as:

Year	Cash in flows (`)
1	10,000
2	8,000
3	9,000
4	6,000
5	7,000

The cost of capital is 12%. The present value factors are:

Year	PV factor at 12%
1	0.893
2	0.797
3	0.712
4	0.636
5	0.567

Compute the NPV of the project.